

Palantir Technologies Inc.

PLTR NYSE

Hold	\$161.55 ▼ 0.68%	12M Price Target \$175.00	52-Week Range \$106.37 – \$207.52	Market Cap \$387.29B
------	------------------	------------------------------	--------------------------------------	-------------------------

PLTR: Blowout Q2 Crushes Shorts, But Valuation Screaming

WHAT HAPPENED

- PLTR ripped ~30% from Friday to Monday (roughly \$125 → \$162) after Q2 earnings absolutely crushed it — commercial revenue growth blew past expectations, and management raised guidance again. Today it's cooling off a tiny bit (-0.7%) which is normal digestion after a monster move.
- The short squeeze got vicious — shorts lost about \$3 billion in a day. That tells you positioning was heavily bearish going in, and now those forced-buyers are out of ammo, meaning the next leg needs real buyers, not covering.

WHY IT MATTERS

Here's what this move really means: Palantir isn't just beating numbers, it's proving the thesis that AI spending in both government AND the private sector is accelerating, not slowing down. The commercial business — which was the big question mark for years — is now growing fast enough that PLTR is no longer just a "government contractor with a cool story." That said, when a stock jumps 30% in a day, most of the good news is now in the price — watch for the "sell the news" fade over the next 2-3 weeks as fast money takes profits. The bigger picture: the Trump administration's push for AI dominance and the ongoing DoD modernization budget means PLTR's federal pipeline has years of runway, but at \$387B market cap, you're paying for that runway upfront.

POLICY & POLITICAL WATCH

The tailwind is enormous: the FY2026 defense budget includes major increases for AI/software modernization (JWCC, Maven, TITAN programs) — PLTR is a prime beneficiary and already embedded in most of these. Also watch the ongoing debate over federal AI procurement rules — the administration has been pushing to streamline software buying, which favors incumbents like PLTR over legacy defense primes. Risk on the horizon: if Democrats retake the House in the midterms, expect scrutiny on Palantir's ICE and immigration contracts — that's headline risk but historically hasn't dented the stock.

IS IT EXPENSIVE?

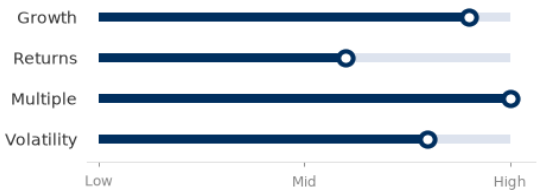
This is where I have to be honest — the stock trades at roughly 80x forward revenue, meaning investors are paying \$80 for every \$1 of sales the company will generate next year. Peers like Snowflake and CrowdStrike trade at \$15-20 per dollar of revenue. That's not "expensive," that's "priced for a miracle." The only way to justify it is if you believe PLTR compounds revenue at 40%+ for 5 straight years — possible, but there's zero margin for error.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$161.55
12M Price Target	\$175.00
Upside / (Downside)	+8.3%
Market Cap	\$387.29B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.72
FY2027E EPS	\$0.98
Fwd P/E	224.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$180.00	\$165.00	\$140.00
6 Months	\$210.00	\$175.00	\$130.00
1 Year	\$240.00	\$185.00	\$120.00
2 Years	\$300.00	\$220.00	\$110.00
5 Years	\$450.00	\$300.00	\$130.00
10 Years	\$700.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials (+1.56%) and Industrials benefiting from infrastructure spending momentum; Consumer Discretionary up 7% over 5 days signals risk-on mood which helps high-multiple names like PLTR.

COOLING OFF: Nothing dramatically weak today, but Comm Services is barely moving — the mega-cap tech leadership is narrowing, which is a yellow flag long-term.

ROTATION WATCH: Money is chasing AI winners with real earnings (PLTR, NVDA) rather than speculative AI stories — that's a "quality" rotation and it favors PLTR near-term but means any earnings stumble gets punished harder.

RELATED PLAY: If you like the AI-for-government thesis but want cheaper exposure, look at defense primes leaning into software (BAH, LDOS) or data center infrastructure (VRT, ETN) that benefits regardless of which AI company wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the picks-and-shovels AI leader — every PLTR deployment ultimately runs on NVDA chips.
- ANET (Arista Networks): AI data center networking, riding the same federal + enterprise AI capex wave.

PLTR CONTEXT: PLTR is LEADING its peer group hard after this print — it's now the AI software bellwether alongside NVDA. But leadership at extreme valuations tends to attract selling pressure on any market wobble. The setup rhymes with 2000 Cisco — dominant, deserved, but priced for outcomes that are hard to deliver.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Great business, questionable entry point. I love the company, I don't love the price tag after a 30% one-day move.

POSITION SIZE: 2-3% of portfolio — small enough that a 40% drawdown doesn't wreck you, big enough to matter if it doubles.

ENTRY POINTS: Don't chase here. Wait for a pullback to \$135-145 (which happens 1-2x per year on macro fear or a merely-good earnings quarter).

TIME HORIZON: 12-24 months — the catalyst is continued federal AI budget growth and commercial customer count doubling.

WHEN TO BAIL: Two straight quarters of commercial growth below 35%, or a major federal contract loss, or if Karp signals he's stepping back.

HEDGING: Simplest approach — trim 25% of your position after big rips like this one and rebuild on dips. If you want insurance, buy 6-month puts 15% below current price; costs a bit but sleeps well.